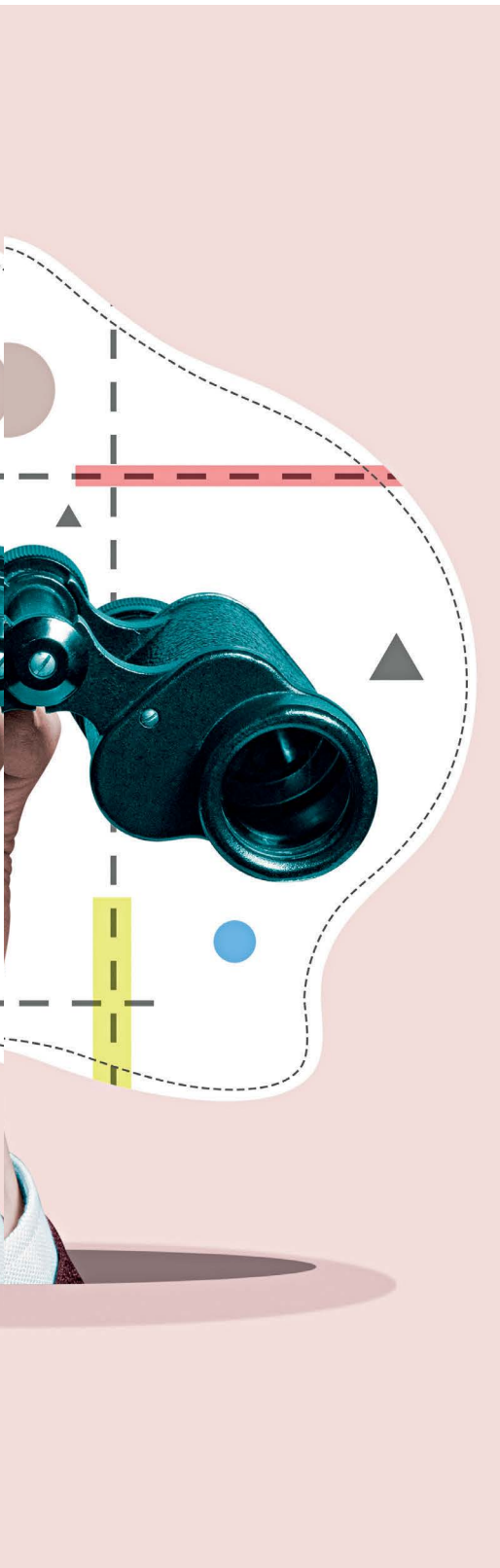




larger than Zomato's in overlapping cities, which will more than compensate for the wider geographical footprint of Zomato," Founder and CEO Deepinder Goyal wrote in a letter to shareholders.

Brokerage Motilal Oswal Financial Services Ltd (MOFSL), in its Q2 note, said it expects Zomato to report a 53 per cent adjusted revenue CAGR over FY23-25. It expects Zomato to turn positive on reported Ebitda by Q3FY24 and deliver 4.1 per cent Ebitda margin in FY25. "Globally, food delivery companies are increasing their revenue and profitability. Discounts are relatively low now, which consumers have accepted, while the platform has also become smart to find more avenues of growth including quick commerce and advertisements," says Nikhil Choudhary, Assistant VP-Equity Research at Nuvama Institutional Equities.

MEANWHILE, PAYTM clocked a robust 32 per cent YoY revenue growth in Q2 to ₹2,519 crore; the festive season revenue is expected to be captured in Q3, and not in Q2 as in the previous fiscal. Robust device

subscriptions drove total revenue growth, while steady payment margins and an expanding financial business bolstered the contribution margin to 57 per cent.

"Despite the bashing in the market, this company did not divert from the path they have set for themselves. They continued to instal devices, diversify their product offerings, expand loan offerings, and increase their merchant touch base, and all of these put together is helping the company increase its numbers," says Sneha Poddar, Associate Vice President at MOFSL. She adds that till Q2FY23, they were loss-making at the adjusted Ebitda level, but from Q3FY23 "it turned profitable for them".

As investors face mounting exit and liquidity demands, late-stage companies are swiftly shedding their 'start-up tag' and are aggressively benchmarking themselves to their listed peers like Swiggy to Zomato, MobiKwik to Paytm, Droom to CarTrade, or Ecom Express to Delhivery. "The market has shown a clear preference for studied growth with strong operating cash flows and good margins. Any deviation requires intensive management commentary to convince listed mar-

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GEARING UP

► Start-ups that have delayed listing are encouraged by the strong investor demand for Mamaearth IPO

► The first wave of new-age tech stocks, led by Zomato and Paytm, are beginning to make a comeback in the markets

► Improved volumes enabled

these companies to curtail losses, offering investors visibility on their potential profitability

► Bringing a firm to the public eye compels it to be meticulous in allocating and managing capital

► As many as 80 start-ups may hit the public market by launching their IPOs in the next five years